
REGULATORY ANALYSIS

Digital Money Instruments in the Tokenised Era

Stablecoins · Tokenised Money Market Funds · CBDCs · Tokenised Deposits

Regulatory Perspective

With a Framework for Interoperability

April 2026

1. Introduction

The global monetary landscape is undergoing a structural transformation. Distributed ledger technology and tokenisation have given rise to four distinct categories of digital money instruments: stablecoins, tokenised money market funds (TMMFs), central bank digital currencies (CBDCs), and tokenised deposits. While each serves overlapping functions — acting as a store of value, medium of exchange, or unit of account — they differ fundamentally in their legal nature, risk profile, regulatory treatment, and systemic implications.

The Bank for International Settlements (BIS), together with the Financial Stability Board (FSB), the Basel Committee on Banking Supervision (BCBS), and national regulators, has devoted increasing analytical attention to these instruments. The BIS Annual Economic Report 2025, BIS Bulletins No. 73 and No. 115, and associated working papers collectively construct a rigorous framework for evaluating digital money through three canonical tests: singleness (acceptance at par across the monetary system), elasticity (timely provision of credit to prevent gridlock), and integrity (resistance to financial crime and illicit flows). This paper analyses each instrument through that lens and concludes that interoperability among all four forms is a necessary — not optional — condition for a sound next-generation monetary and financial system.

The Four Instruments at a Glance

Stablecoin	Tokenised MMF	CBDC	Tokenised Deposit
Private bearer instrument. Fails singleness, elasticity & integrity. Subsidiary/transitional role; niche in DeFi and cross-border remittances.	Regulated fund share on-chain. Yield-bearing collateral. Liquidity mismatch & interconnectedness risks; fragmented global regulation.	Central bank liability. Absolute anchor for singleness. Essential public infrastructure and settlement layer for the tokenised system.	Commercial bank deposit on-chain. Preferred private money. Preserves two-tier system; satisfies all BIS criteria when settled vs. CBDC.

2. Stablecoins

2.1 Definition and Mechanics

Stablecoins are privately issued crypto-assets designed to maintain a stable value relative to a reference currency, predominantly the US dollar. They operate as digital bearer instruments on public, permissionless blockchains: ownership is transferred directly between wallets without the involvement or consent of the issuer, and no concurrent settlement in central bank money takes place.

The stablecoin market reached approximately USD 300 billion in capitalisation by end-2024, with USDT and USDC alone recording USD 23 trillion in trading volume during 2024.

2.2 Regulatory Classification

Regulatory treatment varies significantly across jurisdictions, reflecting the instrument's hybrid nature between electronic money, a payment instrument, and a shadow banking liability.

- European Union (MiCA, effective December 2024): Distinguishes e-money tokens (EMTs), which must be backed 1:1 and issued only by credit institutions or authorised e-money institutions, from asset-referenced tokens (ARTs) with stricter reserve and disclosure requirements. Systemically significant stablecoins face additional prudential overlay from the European Banking Authority.
- United Kingdom: The Bank of England, FCA, and PRA have issued a joint regulatory roadmap covering fiat-backed stablecoins used as a means of payment, addressing backing assets, redemption rights, and operational resilience.
- Singapore (MAS): Payment Services Act amended to require single-currency stablecoin issuers to maintain minimum reserve assets equal to at least 100% of outstanding coins, with mandatory capital buffers and redemption rights within five business days.
- United States: Draft GENIUS Act and House STABLE Act propose that stablecoin issuers must be federally or state-chartered depository institutions, or non-depository trust companies registered with the Federal Reserve, with reserves limited to high-quality liquid assets.
- BCBS Cryptoasset Standard (2024): Assigns Group 2b classification to unbacked or insufficiently backed stablecoins, attracting punitive capital surcharges and a 1,250% risk weight for bank exposures.

2.3 BIS Regulatory Assessment

The BIS has offered its most pointed critique of stablecoins in the Annual Economic Report 2025. The institution identifies three structural deficiencies:

Failure of singleness: As bearer instruments, stablecoins circulate at market prices that can and do deviate from par. Historical episodes — the depegging of USDC during the Silicon Valley Bank collapse and Terra/Luna's catastrophic failure — demonstrate that even asset-backed stablecoins are vulnerable to confidence crises. The BIS draws an explicit parallel with US free-banking era banknotes, which were discounted by up to 20% in distant locations.

Failure of integrity: The pseudonymous, bearer-instrument architecture undermines AML/CFT compliance. When a stablecoin is transferred between wallets, the original issuer has no record of the new holder, creating a cascade of KYC gap risk. BIS Bulletin No. 73 explicitly identifies this as a systemic vulnerability.

Risks to monetary sovereignty and financial stability: With over 99% of stablecoins denominated in US dollars, widespread adoption in emerging markets constitutes de facto dollarisation. The BIS estimates that a USD 3.5 billion increase in stablecoin market capitalisation depresses US Treasury bill yields by 2.5 to 5 basis points, with effects up to three times larger during redemption episodes, creating a feedback loop between crypto markets and sovereign debt pricing.

The BIS concludes that stablecoins, even if adequately regulated, can play only a subsidiary role in the monetary system. Their future beyond acting as a gateway to the crypto ecosystem remains unclear under current design.

2.4 Use Cases

Despite regulatory scepticism, stablecoins have established genuine demand in several areas: cross-border remittances (particularly in emerging and developing economies), collateral provision within DeFi protocols, hedging against local currency depreciation, on/off-ramps to the broader crypto ecosystem, and settlement of tokenised asset trades in the absence of a CBDC.

3. Tokenised Money Market Funds (TMMFs)

3.1 Definition and Mechanics

TMMFs represent shares in regulated funds investing in short-term money market instruments — government securities, Treasury bills, commercial paper, and certificates of deposit — but circulate as tokens on public permissionless blockchains such as Ethereum and Stellar. Major operators include Franklin Templeton (FOBXX), BlackRock (BUIDL), and crypto-native firms such as Ondo Finance. Unlike stablecoins, TMMFs distribute returns to investors at prevailing money market rates.

The operational model is hybrid: investors subscribe by transferring fiat or stablecoins to a transfer agent, which mints tokens corresponding to fund shares. Redemptions involve burning tokens and liquidating fund assets off-chain. The underlying government securities remain custodied off-chain, with on-chain NAV calculations relying on oracle feeds.

3.2 Regulatory Classification

TMMFs are classified as securities — specifically, fund shares — and fall under the jurisdiction of securities regulators rather than banking or payments regulators. This distinction has significant consequences:

- United States: Depending on fund structure, TMMFs are either 2a-7 registered investment companies (retail/institutional) subject to SEC rules mandating 99.5% investment in

government securities and repos, or private funds for qualified purchasers under Section 3(c)(7) of the Investment Company Act.

- European Union: TMMF structures may qualify as UCITS or AIF under AIFMD, depending on investment policy, with regulation by national competent authorities under ESMA coordination. MiCA does not directly apply to fund shares.
- International: IOSCO and FSB have flagged that TMMF regulatory frameworks are fragmented, creating risks of regulatory arbitrage as issuers select favourable domiciles.

A critical compliance feature is the allow-list: wallets must be whitelisted by the fund administrator following AML/CFT onboarding, restricting direct peer-to-peer transfer to identified investors. However, BIS Bulletin No. 115 notes that wrapping TMMF tokens into stablecoins or secondary market trading on platforms can allow investors to bypass allow-lists in practice.

3.3 BIS Regulatory Assessment

BIS Bulletin No. 115 (November 2025) provides the most comprehensive official assessment of TMMFs. The BIS identifies the instrument as a fast-growing but potentially destabilising component of the crypto ecosystem:

Liquidity mismatch risk: TMMFs inherit the classic vulnerability of conventional non-government MMFs: underlying assets (government bonds, commercial paper) may not be immediately liquid during stress periods, even as on-chain token transfers create the expectation of instant liquidity. During a stress event, simultaneous redemption pressure could force rapid liquidation of off-chain assets.

Interconnectedness with stablecoins: Many DeFi protocols use TMMF tokens as collateral precisely because they offer yield over and above zero-interest stablecoins. This creates tight coupling: a TMMF redemption stress could cascade into stablecoin depegging and DeFi liquidity crises.

Regulatory arbitrage and fragmentation: Without agreed international standards, issuers can choose jurisdictions with lighter-touch regulation, undermining the FSB's 'same activity, same risk, same regulation' principle. The BIS calls for agreed cross-border standards and shared wallet identity infrastructure.

3.4 Use Cases

TMMFs serve as yield-bearing collateral in DeFi lending and derivatives protocols, an on-chain savings instrument for crypto-native investors seeking money market returns, a bridge between traditional finance and crypto ecosystems, and a more capital-efficient substitute for stablecoin holdings. As on-chain derivatives markets expand, their role as margin collateral is expected to grow.

4. Central Bank Digital Currencies (CBDCs)

4.1 Definition and Mechanics

A CBDC is a digital form of sovereign currency issued directly by a central bank. It represents the highest form of public money and carries no credit risk relative to its sovereign denomination. CBDCs are typically distinguished by issuance tier: retail CBDCs target the general public as a digital alternative to cash, while wholesale CBDCs are restricted to financial institutions and serve as tokenised central bank reserves for settlement purposes.

The 2024 BIS CBDC Survey (BIS Papers No. 159) found that 91% of 93 surveyed central banks were exploring either retail, wholesale, or both forms of CBDC. Wholesale CBDC exploration is at more advanced stages, given the clearer immediate use case in improving cross-border and interbank settlement efficiency.

4.2 Regulatory Classification

CBDCs are unique in that the central bank simultaneously acts as issuer, regulator, and infrastructure operator. Unlike the other three instruments, the CBDC does not require a separate regulatory authorisation framework — it is itself central bank money. Regulatory questions instead centre on:

- Design features: Account-based versus token-based models; privacy protections; tiered anonymity (retail transactions below a threshold may preserve cash-like privacy).
- Financial stability: Disintermediation risk — if depositors shift funds from commercial banks to retail CBDC at scale, banks' funding bases could be undermined, reducing credit supply.
- Programmability and monetary policy: Project Pine (BIS Innovation Hub, New York Fed) explores how central banks can implement monetary policy operations through smart contracts in a tokenised world.
- Cross-border implications: Projects mBridge, Dunbar, Jura, and Mariana have explored how multi-CBDC platforms can streamline correspondent banking and foreign exchange settlement.

4.3 Regulatory Assessment

The BIS positions the CBDC — specifically wholesale CBDC — as the indispensable public layer of the next-generation monetary system. The BIS Annual Economic Report 2025 explicitly places tokenised central bank reserves as the first pillar of the 'trilogy' underpinning the unified ledger vision. Three properties are central:

Singleness anchor: Because CBDC represents central bank money, it is inherently at par with cash and reserves. Settlement in wholesale CBDC eliminates the inter-bank credit exposures that could otherwise cause private monies to trade at discounts, restoring the singleness property that stablecoins structurally undermine.

Elasticity: Central banks can ensure sufficient liquidity provision during stress periods, preventing gridlock in tokenised payment and settlement systems. This mirrors the existing lender-of-last-resort function but extends it to programmable platforms.

Integrity: Wholesale CBDC transactions are fully traceable by the central bank, supporting AML/CFT oversight in a way that pseudonymous bearer instruments cannot. Retail CBDC designs can incorporate tiered privacy while preserving regulatory audit trails.

A key BIS finding is that wholesale CBDC does not need to displace commercial bank money; rather, the two can function complementarily. In non-bearer instrument model, when a payer initiates a transfer, the payer's tokenised deposit balance at one bank is reduced while the recipient's balance at another bank is increased. At the same time, CBDC tokens are transferred between the two banks on the shared platform, mirroring the existing correspondent banking model but with atomic, real-time finality.

4.4 Use Cases

Wholesale CBDCs are being explored for cross-border interbank settlement (reducing correspondent banking chains and associated credit, liquidity, and FX risks), domestic delivery-versus-payment (DvP) and payment-versus-payment (PvP) settlement, as the monetary anchor in unified tokenised ledger infrastructure, and for programmable monetary policy operations. Retail CBDCs address financial inclusion for the unbanked, digital cash substitution as physical cash usage declines, and government payment disbursement.

5. Tokenised Deposits

5.1 Definition and Mechanics

Tokenised deposits are digital representations of conventional commercial bank deposits, recorded on a programmable ledger. They preserve the existing two-tier monetary system architecture — deposits remain liabilities of the issuing commercial bank, protected by deposit insurance up to applicable limits, and backed by central bank regulatory oversight — while adding programmability, composability, and atomic settlement capabilities.

Critically, tokenised deposits operate as non-bearer instruments: transfers do not move issuer liabilities between counterparties. Instead, the sender's tokenised deposit balance is reduced at Bank A, the receiver's is increased at Bank B, and settlement is simultaneously effected by a concurrent transfer of wholesale CBDC between the two banks. This architecture directly mirrors the settlement mechanics of the existing system but with programmable automation.

5.2 Regulatory Classification

Because tokenised deposits remain bank deposits, they inherit the existing prudential and conduct regulatory framework for credit institutions:

- Prudential regulation: Basel III/IV capital and liquidity requirements apply. The EBA Report on Tokenised Deposits (December 2024) confirmed that tokenised deposits are subject to the same regulatory framework as conventional deposits under CRR/CRD.
- Deposit insurance: Tokenised deposits issued by FDIC-insured or equivalent institutions retain deposit guarantee scheme protection up to statutory limits (USD 250,000 in the US; EUR 100,000 in the EU).
- AML/CFT: Full KYC obligations apply at the issuing institution, with the non-bearer instrument model ensuring that the identity boundary of the issuer is never crossed — a significant advantage over stablecoins.
- Payment regulation: Where tokenised deposits are used for payment purposes, additional payment services regulation may apply (e.g., PSD3 in the EU).

5.3 Regulatory Assessment

The BIS identifies tokenised deposits as the preferred form of private money in the next-generation financial system, surpassing stablecoins on all three key criteria:

Singleness: Because settlement occurs in central bank money and tokens are not bearer instruments, there is no mechanism for tokenised deposits of different banks to trade at a discount to one another. The monetary system's unit of account integrity is preserved.

Elasticity: Banks can expand their balance sheets through credit creation in the tokenised system, just as in the conventional system, subject to central bank oversight. This means the supply of tokenised deposits can respond elastically to the needs of the economy, unlike stablecoins whose supply is constrained by reserve assets.

Integrity: Full KYC at the issuing bank ensures AML/CFT compliance at the point of account opening. The non-bearer model means the compliance boundary is not crossed in subsequent transfers — a fundamental structural advantage over stablecoins.

Project Agorá (BIS, seven central banks, 43 financial institutions) directly operationalises the tokenised deposit model at the cross-border level, exploring how tokenised commercial bank deposits

can be integrated with tokenised wholesale CBDC on a shared programmable platform to reduce correspondent banking friction, settlement times, and associated credit and liquidity risks.

5.4 Use Cases

Tokenised deposits serve as programmable corporate payments with embedded compliance conditions and smart contract triggers, atomic DvP settlement for tokenised securities, cross-border corporate treasury management (Project Agorá), correspondent banking optimisation, and as the private-money layer of unified ledger infrastructure. JPM Coin (JP Morgan) is an early institutional example of intra-institution tokenised deposit transfers.

6. The Interoperability Imperative

The preceding analysis suggests that the categories of “money/payment” instruments—stablecoins, tokenised money market funds, CBDCs, and tokenised deposits—each occupy a distinct functional niche that the others currently cannot replicate at scale. A sustainable next-generation monetary and financial system therefore requires all four to be interoperable—technically, legally, and institutionally—so that value can move seamlessly across different forms of tokenised money without friction, fragmentation, or loss of trust.

6.1 Why Interoperability is Necessary

The DeFi Ecosystem Reality: TMMFs and stablecoins are already deeply embedded in the DeFi collateral stack. Over USD 300 billion in stablecoins and a rapidly growing TMMF market provide the liquidity infrastructure for on-chain derivatives, lending protocols, and yield strategies. A tokenised financial system that excludes or is incompatible with these instruments will remain siloed from the USD 2+ trillion crypto ecosystem, diminishing the scale benefits of tokenisation.

The Settlement Layer Gap: Wholesale CBDC remains unavailable in most jurisdictions. In its absence, stablecoins and TMMFs serve as de facto settlement assets in on-chain markets. BIS research acknowledges that stablecoins currently function as the dominant on-chain settlement medium precisely because CBDC issuance has not kept pace with market demand. Interoperability means that as CBDCs are deployed, they can assume the settlement role from stablecoins without market disruption, rather than requiring a hard cut-over.

Varied Investor Access and Jurisdiction: Not all jurisdictions will launch CBDCs simultaneously. Not all counterparties will have access to tokenised deposits issued by systemically important banks. TMMFs provide regulated, yield-bearing digital assets for institutional investors in jurisdictions without

active CBDC programmes. Stablecoins provide accessibility for retail users and smaller markets. Forcing exclusivity would fragment global liquidity.

The BIS Unified Ledger Vision: The BIS Annual Economic Report 2025 explicitly designs the unified ledger as a platform that incorporates all four instrument types. The 'trilogy' of tokenised central bank reserves, tokenised commercial bank money, and tokenised government bonds is the ideal steady-state, but the pathway to that steady state necessarily involves coexistence and interoperability with stablecoins and TMMFs during the transition. Atomic cross-instrument settlement — where a stablecoin can be exchanged for a tokenised deposit or CBDC in a single on-chain transaction — requires interoperability as a technical and legal precondition.

6.2 Regulatory Prerequisites for Interoperability

Achieving meaningful interoperability requires coordinated regulatory action across six dimensions:

- Legal recognition: Cross-border equivalence frameworks must confirm that a tokenised deposit settled by CBDC carries the same legal finality as a conventional interbank transfer.
- Technical standards: Shared token standards (building on ERC-3643 and its equivalents), API interoperability specifications, and cross-chain bridge security standards are necessary. The BIS Innovation Hub's Project Agorá is constructing reference architecture for this.
- AML/CFT harmonisation: Trusted wallet identity systems — shared across TMMFs, tokenised deposits, stablecoin platforms, and CBDC systems — are needed to ensure that interoperability does not create compliance bypass routes. FATF's updated VASP standards provide a foundation.
- Capital and liquidity treatment: Regulators must agree on how banks should hold capital against exposures arising from cross-instrument bridges (e.g., tokenised deposit to stablecoin conversion facilities). BCBS work on cryptoasset standards is the relevant forum.
- Monetary policy transmission: Central banks must ensure that interoperability does not impair the monetary policy transmission mechanism. If large volumes of bank deposits migrate to non-bank-issued stablecoins or TMMFs through seamless conversion, the credit channel could be weakened. Policy rate pass-through on CBDC and stablecoin holding incentives requires coordinated design.
- Data and reporting infrastructure: Real-time visibility into cross-instrument flows is essential for financial stability monitoring. The FSB's Data Gaps Initiative and cross-border payments data standards provide a starting framework.

6.3 The Transition Architecture

The BIS envisions a phased transition rather than a big-bang replacement. In the near term, stablecoins and TMMFs continue to dominate on-chain markets while CBDC infrastructure matures. Interoperability standards — developed through BIS Innovation Hub projects, G20 cross-border payments roadmap work, and bilateral central bank agreements — enable atomic exchange between

instruments. In the medium term, as wholesale CBDCs become operational across major currency areas, they progressively assume the settlement anchor role. Tokenised deposits assume the private-money layer, with stablecoins confined to a regulated niche. TMMFs evolve toward investment products with lower monetary system connectivity. In the long term, the unified ledger architecture emerges, with CBDC and tokenised deposits as the dominant monetary instruments, but with regulatory pathways for stablecoins and TMMFs that are interoperable without posing systemic risk.

7. Conclusion

The four instruments examined in this paper — stablecoins, tokenised money market funds, CBDCs, and tokenised deposits — represent distinct responses to the same technological opportunity: the programmability and composability unlocked by distributed ledger technology. Their differences are not cosmetic. They reflect fundamentally different legal structures, risk profiles, issuer types, and monetary system roles. From a regulator's perspective informed by BIS analysis, a clear hierarchy emerges:

- CBDCs are the indispensable public anchor: the only instrument that fully satisfies the criteria of singleness, elasticity, and integrity by design. Their deployment — particularly wholesale CBDC — is a prerequisite for a sound tokenised financial system.
- Tokenised deposits are the preferred form of private money: they preserve the proven two-tier monetary architecture, maintain deposit insurance protections, and satisfy all three BIS criteria when settled against CBDC. They represent the private-sector complement to wholesale CBDC.
- TMMFs are legitimate investment instruments with growing systemic relevance: regulated as securities, they provide yield-bearing on-chain collateral but carry liquidity mismatch, interconnectedness, and regulatory arbitrage risks that require urgent international coordination.
- Stablecoins play a transitional and subsidiary role: their structural failure to deliver singleness and integrity limits their monetary system aspirations. With adequate regulation, they can serve niche cross-border and DeFi functions without posing systemic risk.

The BIS unified ledger vision — explicitly requires all four instrument types to coexist and interact during the transition to a fully tokenised monetary system. The speed of market development means that stablecoins and TMMFs have already embedded themselves in global financial infrastructure. The regulatory path of least systemic risk is not exclusion but supervised integration: technical interoperability standards, harmonised AML/CFT identity infrastructure, coordinated capital treatment, and monetary policy-aware conversion mechanisms.

The full potential of the next-generation monetary and financial system requires bold actions by central banks, working in partnership with the private sector and other public authorities. Those partnerships cannot be limited to the preferred instruments. They must encompass the entire digital

money ecosystem — ensuring that innovation and stability reinforce rather than undermine each other as the tokenised era unfolds.

References

- Bank for International Settlements (2023). Stablecoins versus tokenised deposits: implications for the singleness of money. BIS Bulletin No. 73.
- Bank for International Settlements (2025). The rise of tokenised money market funds. BIS Bulletin No. 115.
- Bank for International Settlements (2025). Next-generation monetary and financial system takes shape, based on a tokenised unified ledger. Press Release, 24 June 2025.
- Bank for International Settlements (2025). Advancing in tandem – results of the 2024 BIS survey on central bank digital currencies and crypto. BIS Papers No. 159.
- Bank for International Settlements (2025). Stablecoin growth – policy challenges and approaches. BIS Bulletin No. 108.
- Bank for International Settlements (2025). Stablecoin-related yields: some regulatory approaches. FSI Briefs No. 27.
- Basel Committee on Banking Supervision (2024). Cryptoasset standard amendments.
- European Banking Authority (2024). Report on tokenised deposits, December.
- Financial Stability Board (2023). High-level recommendations for the regulation, supervision and oversight of global stablecoin arrangements: final report.
- International Monetary Fund (2025). Understanding Stablecoins. Monetary and Capital Markets Department.
- Tokenization of Money Market Funds. J.P. Morgan - Kinexys
<https://am.jpmorgan.com/content/dam/jpm-am-aem/emea/regional/en/insights/portfolio-insights/gl-tokenization-whitepaper.pdf>

Appendix

Comparison table of four digital settlement models:

Project Agorá, mBridge, JPM Coin, and stablecoin settlement - covering operator, technology, currency type, settlement finality, use case, and key limitations.

	PROJECT AGORÁ	MBRIDGE	JPM COIN	STABLECOIN SETTLEMENT
OVERVIEW				
Operator	BIS + 7 central banks (Fed, BoE, BoJ, ECB, BdF, SNB, BoK)	BIS Innovation Hub + 4 central banks (China, HK, Thailand, UAE)	JPMorgan Chase (private)	Various issuers (Tether, Circle, PayPal, etc.)
Status	Proof of concept (2024 ~ongoing)	MVP platform, live pilots (2024)	Live since 2019, expanded 2023	Live across multiple chains
Sector	Public + private	Central bank / public	Private / permissioned	Private, mixed access
TECHNOLOGY				
Architecture	Unified ledger~ tokenised deposits + wCBDC on shared platform	Multi-CBDC DLT platform (Hyperledger Besu variant)	Permissioned blockchain (Onyx / Quorum-derived)	Public blockchains (Ethereum, Solana, Tron, etc.)
Token type	Wholesale CBDC + tokenised commercial bank deposits	Multi-currency wholesale CBDC (mCBDC)	JPM Coin - tokenised USD deposit claim	Fiat-backed stablecoins (USDC, USDT, PYUSD, etc.)
Smart contracts	Yes - core design	Yes	Limited	Yes - native
SETTLEMENT				
Settlement finality	Real-time, atomic DVP across jurisdictions	Real-time atomic settlement in central bank money	Real-time intraday for JPM clients	On-chain finality (seconds-minutes, chain-dependent)
Currency basis	Central bank money (wCBDC)	Central bank money (mCBDC)	Commercial bank money (deposit liability)	Commercial/private issuer liability
FX handling	PvP atomic FX swap	PvP atomic FX swap	USD-only (no native FX)	Manual/DEX routing
Interoperability	Cross-border multi-currency by design	Cross-border multi-currency by design	JPM ecosystem only; SWIFT linkage in testing	Chain-dependent; bridges add risk

	PROJECT AGORÃ	MBRIDGE	JPM COIN	STABLECOIN SETTLEMENT
ACCESS & GOVERNANCE				
Who can use	Commercial banks in participating jurisdictions	Corridor banks in member jurisdictions	JPMorgan institutional clients	Any wallet holder (permissionless) or licensed partners
Regulatory status	Research/PoC; no regulatory framework yet	Operated under member central bank oversight	Regulated as bank product (OCC guidance)	Fragmented; MiCA (EU), proposed US bills, no global standard
KYC/AML	Built-in (bank-level)	Built-in (central bank)	Full bank-grade	Issuer-level; on-chain gaps
Privacy model	Controlled - auditability for regulators	Controlled - central bank visibility	Permissioned - JPM has full visibility	Pseudonymous on-chain; varies by issuer
USE CASES & FIT				
Primary use case	Cross-border wholesale FX & securities settlement	Cross-border wholesale payments between central banks	Intraday liquidity, repo, institutional payments	Crypto trading, DeFi, cross-border retail/B2B
Programmability	High - DVP, PvP, conditional settlement	Medium - atomic settlement, some conditional logic	Low-medium - limited programmable flows	High - open smart contract ecosystem
Key strength	Unified ledger eliminates correspondent banking friction	Sovereign-backed, multi-currency, real central bank money	Proven, live, deep integration with JPM balance sheet	Speed, openness, composability, no bilateral agreements needed
Key limitation	Still PoC; governance across 7+ sovereigns is complex	Geopolitical scrutiny; limited to current member corridors	Single-bank, USD-only, not interoperable externally	Credit/issuer risk, regulatory uncertainty, settlement in commercial money only

PoC = proof of concept Â· wCBDC = wholesale central bank digital currency Â· mCBDC = multi-CBDC Â· DVP = delivery vs. payment Â· PvP = payment vs. payment Â· DeFi = decentralised finance

Comparative Analysis

The following table synthesises the four instruments across key regulatory and monetary dimensions as assessed by the BIS and global standard-setters:

Comparative Analysis: Digital Money Instruments — BIS Framework

Stablecoins · Tokenised Money Market Funds · CBDCs · Tokenised Deposits | April 2026

Attribute	Stablecoin	Tokenised MMF	CBDC	Tokenised Deposit
Issuer	Private (fintech / crypto firm)	Asset manager (regulated fund)	Central bank	Commercial bank
Legal Nature	Bearer instrument / e-money token	Securities (fund shares)	Sovereign currency / legal tender	Bank deposit liability
Regulatory Regime	MiCA; national stablecoin laws; BCBS Group 2b capital surcharge	Securities law — SEC (2a-7), UCITS, AIFMD; MiCA does not apply	Central bank statute; no separate framework required	Banking regulation — Basel III/IV, deposit insurance schemes
Credit Risk	Issuer risk / reserve asset quality risk	Fund NAV risk (market + liquidity)	Zero — central bank liability	Bank credit risk, mitigated by deposit guarantee schemes
Singleness	Structurally at risk — bearer instrument trades at market price; depegging episodes (USDC, TerraUSD)	Not a monetary instrument; valued at NAV — singleness concept does not apply	Absolute anchor — inherently at par with cash and reserves	Preserved — non-bearer instrument settled against CBDC at par
Elasticity	Limited — supply constrained by reserve assets; cannot expand with credit demand	None — investment product, not a credit instrument	Full — central bank mandate to ensure adequate liquidity; lender-of-last-resort function	Yes — banks retain credit creation capacity; balance sheets expand with economic need
Integrity (AML/CFT)	Weak — pseudonymous bearer architecture; cascading KYC gaps across wallet transfers	Moderate — allow-list model provides KYC at subscription; secondary market can bypass	Strong — all transactions traceable by central bank; supports full AML/CFT oversight	Strong — full bank KYC at account opening; non-bearer model keeps compliance boundary intact
Yield	None (prohibited under MiCA / proposed US legislation)	Yes — distributes prevailing money market rates to token holders	Policy-determined; remuneration design varies by jurisdiction	Typically low; set by issuing bank subject to monetary policy transmission

Attribute	Stablecoin	Tokenised MMF	CBDC	Tokenised Deposit
Deposit Insurance	No	No	N/A — no counterparty risk by definition	Yes — within statutory limits (USD 250,000 US; EUR 100,000 EU)
Primary Use Cases	Cross-border remittances; DeFi collateral; crypto on/off-ramp; hedge vs. local currency depreciation	On-chain yield-bearing collateral in DeFi lending/derivatives; institutional savings instrument; bridge between TradFi and crypto	Interbank settlement; DvP/PvP; monetary policy anchor in unified ledger; cross-border multi-CBDC platforms (mBridge, Agorá)	Programmable corporate payments; atomic DvP for tokenised securities; cross-border treasury (Project Agorá); correspondent banking optimisation
BIS Assessment	Fails all three criteria (singleness, elasticity, integrity); subsidiary/transitional role only; risks to monetary sovereignty	Growing systemic relevance; liquidity mismatch risk; regulatory fragmentation; urgent need for international standards	Essential public infrastructure; indispensable settlement anchor; preferred foundation for next-generation monetary system	Preferred form of private money; preserves two-tier monetary system; satisfies all three BIS criteria when settled against CBDC

Sources: BIS Bulletin No. 73 & 115; BIS Annual Economic Report 2025; BIS Papers No. 159; FSB High-Level Recommendations; BCBS Cryptoasset Standard 2024; EBA Report on Tokenised Deposits 2024.